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KSE-100 **V**

181,310

▼ 0.07% Mon ·
-120 pts

S&P 500 **V**

▼ **0.06%**

Nasdaq -0.32% ·
Dow -0.11%

US 10Y / 2Y **V**

4.65 / 4.25

hawkish hold ·
Sept hike bets
rebuild

BRENT / WTI **V**

\$87.72 / \$82.13

▲ 5.0% / 5.1% ·
Hormuz talks
stalled

GOLD **V**

\$4,427

+0.8% · silver \$66.3

USD/PKR **V**

277.70

interbank · steady

01 Five Things You Need To Know To Start Your Day

PSX EKES OUT A MARGINAL LOSS

The **KSE-100 slipped 0.07% (-119.74 pts) to 181,310.28** on Monday, with the broader All-Share Index actually gaining 0.21% to 109,402.32; index breadth was split 50 gainers/50 losers on volume of 434.73m shares (broader market 917.27m shares, Rs44.81bn). **CENERGY (+9.97%), ATRL (+7.25%) and PABC (+4.93%)** led gainers as **HUBC (-5.42%), AICL (-3.72%) and TRG (-3.41%)** topped losers, with Power Generation (-412.33pts) and Fertilizer (-134.19pts) dragging the index even as Oil & Gas Exploration (+251.44pts) and Refinery (+165.42pts) rallied on the oil spike ([Business Recorder](#), [Mettis Global](#)). Sentiment: flat, oil-driven sector rotation.

OIL SPIKES ON STALLED HORMUZ TALKS

Brent settled up 5% at \$87.72 and **WTI jumped 5.1% to \$82.13** after Iran's national security chief demanded the US end its naval blockade and compensate for damages before the Strait of Hormuz reopens, with tanker traffic through the waterway still running near five vessels a day versus 14 a day after June's memorandum of understanding; an attack on a Saudi refinery near the Red Sea added a further supply scare ([Rigzone](#), [Trading Economics](#)). Sentiment: **Hormuz premium widens.**

WALL STREET PAUSES NEAR RECORDS

The **S&P 500 eased 0.06% to 7,753.11**, the **Dow slipped 0.11% (-60.95 pts) to 53,975.98** and the **Nasdaq fell 0.32% (-85.26 pts) to 26,605.36**, a mild pullback from last week's records as Nvidia dropped roughly 3% on reports of its \$500bn AI infrastructure funding push and rising oil prices injected a note of caution ([The Motley Fool](#), [BBN Times](#)). Sentiment: digesting a hot streak.

FED'S RATE PATH GETS MORE CONTESTED

The Fed's **29 July hold at 3.50%-3.75% passed 9-3**, with three regional presidents — Hammack, Kashkari and Logan — dissenting in favour of a hike, the first unified three-way dissent since September 2016; September rate-hike odds, which had fallen to roughly 44-46% after the weak July jobs print, are rebuilding as Hormuz-driven oil gains revive inflation concerns ahead of Wednesday's July CPI print ([CNBC](#), [Federal Reserve](#)). Sentiment: **hawkish undertone building.**

SAUDI NON-OIL MOMENTUM, PIF STRATEGY ROLL ON

Saudi Arabia's **non-oil PMI held at 53.1 in July**, a fourth consecutive month of expansion even as export orders fell for a fifth straight month on elevated freight costs, while the **PIF continues rolling out its 2026-2030 strategy**, chaired by Crown Prince Mohammed bin Salman, pivoting toward localisation and tourism-led diversification ([Business Recorder](#), [AGBI](#)). Sentiment: **steady Gulf backdrop.**

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

The **KSE-100 eased 0.07% (-119.74 pts) to close Monday at 181,310.28**, trading in a 180,820.22–182,347.50 range, while the broader All-Share Index rose 0.21% to 109,402.32; index breadth was evenly split at 50 gainers versus 50 losers on volume of 434.73m shares, with the broader market trading 917.27m shares worth Rs44.81bn. **CENERGY (+9.97%), ATRL (+7.25%) and PABC (+4.93%)** led gainers while **HUBC (-5.42%), AICL (-3.72%) and TRG (-3.41%)** led decliners, as Power Generation & Distribution (-412.33pts) and Fertilizer (-134.19pts) offset gains in Oil & Gas Exploration (+251.44pts) and Refinery (+165.42pts) — a direct read-through from Monday's 5% oil spike ([Business Recorder](#)). On the macro front, [CPI eased to 9.2% YoY in July](#) from 11.1% in June, and the [SBP held its policy rate at 11.5%](#) for a second straight meeting on 27 July; six-month KIBOR is tracking near 11.70–11.90% (EST.), broadly in line with the policy rate. [SBP-held FX reserves stood at \\$17.04bn](#) as of end-July, while the rupee held steady near 277.70/USD in interbank trade. Separately, the [EU's 16 July GSP+ compliance assessment](#) flagged continued concerns on labour rights and enforced disappearances, putting a portion of Pakistan's \$8.96bn in EU-bound exports — more than 85% of which enter duty-free — under renewed scrutiny.

B. GCC & Middle East

OPEC+'s seven-member subgroup confirmed on 2 August a further [188,000 bpd increase for September](#), a sixth consecutive monthly hike that completes the unwind of 2023's voluntary cuts, though roughly 2m bpd of separate 2022-vintage cuts remain in place through year-end. Gulf non-oil momentum held up despite regional disruptions: [Saudi Arabia's non-oil PMI eased only slightly to 53.1](#) in July from 53.3 in June, a fourth straight month of expansion, even as export sales fell for a fifth consecutive month on elevated freight costs. Saudi's [Public Investment Fund continues deploying its 2026-2030 strategy](#), chaired by Crown Prince Mohammed bin Salman, pivoting from rapid capital deployment toward localisation, Saudisation and long-term industrial capability, with tourism and entertainment prioritised. Oil itself surged on the region's unresolved diplomacy and fresh supply scares: [Brent settled 5% higher at \\$87.72](#) and WTI rose 5.1% to \$82.13 as Iran-Oman talks on reopening the Strait of Hormuz remained stalled and an attack on a Saudi refinery near the Red Sea compounded supply concerns.

C. Global Intelligence

Wall Street took a breather from last week's record run: the [S&P 500 eased 0.06% to 7,753.11](#), the Dow slipped 0.11% to 53,975.98 and the Nasdaq fell 0.32% to 26,605.36, pressured by a roughly 3% drop in Nvidia and the fresh jump in oil prices. The [10-year Treasury yield held near 4.65%](#) and the 2-year near 4.25%, still digesting the Fed's own [29 July decision to hold rates at 3.50%-3.75% on a divided 9-3 vote](#) — the first unified three-way dissent since September 2016, with Cleveland's Hammack, Minneapolis's Kashkari and Dallas's Logan all favouring a hike. September rate-hike odds, which had fallen to roughly 44-46% after July's weak payrolls print, are [rebuilding again](#) as Hormuz-driven oil gains revive inflation risk ahead of Wednesday's July CPI release. Gold ticked up to roughly [\\$4,427/oz \(+0.8%\)](#) and silver held near \$66.3 on the same haven bid. Washington's trade agenda keeps moving too: a 50% Section 338 tariff on Canadian-origin dairy, alcohol and motor-vehicle exports is set to take effect 19 August, now eight days out.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	The European Commission's 16 July GSP+ compliance assessment pressed Pakistan to show implementation progress on labour rights and enforced disappearances, with India's newly concluded zero-tariff EU FTA threatening to undercut Pakistan's textile exports from 2027 if benefits are not retained.	Textiles, Apparel, Trade	Wins: compliant exporters retaining zero-duty access to the EU for Pakistan's \$8.96bn in annual shipments. Losses: textile and apparel makers facing renewed scrutiny risk, and eroding relative advantage once India's tariff-free EU access takes hold.
GCC — Saudi/ OPEC+	OPEC+ added a further 188,000 bpd for September , its sixth straight monthly hike completing the 2023 cuts unwind, while Saudi's PIF continues rolling out its 2026-2030 strategy toward localisation and tourism-led diversification.	Energy, Sovereign Wealth, Tourism	Wins: PIF-backed tourism and entertainment ventures, and Gulf oil producers benefiting from the Hormuz-driven price spike even as OPEC+ adds barrels. Losses: foreign contractors facing tighter localisation requirements; global refiners and importers absorbing a higher landed cost of Gulf crude.
Global — US/ Canada	A 50% US Section 338 tariff on Canadian dairy, alcohol and motor-vehicle exports takes effect 19 August, now eight days out, covering roughly \$20bn of trade, while Pakistan's negotiated 19% reciprocal US tariff remains comparatively favourable.	Trade, Dairy/Alcohol/ Autos, Textiles	Wins: Pakistani textile and apparel exporters retaining a relative tariff edge over higher-taxed peers. Losses: Canadian dairy, alcohol and auto exporters, and US importers absorbing the 19 August cost step-up.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

180,000

psychological handle near Monday's 180,820 intraday low; deeper support at 178,500

PIVOT EST.

181,310

Monday's close

RESISTANCE EST.

182,350

Monday's intraday high; then the 2026 high of 189,167 set in January

Desk view: Monday's 0.07% dip masks a sharp sector rotation, not broad risk-off — selling was concentrated in rate-sensitive power and fertilizer names, while oil & gas exploration and refinery stocks (up 251 and 165 index points respectively) tracked the day's 5% crude spike almost tick-for-tick, and the broader All-Share Index actually closed higher. **Oil is once again the swing factor:** Brent's jump to \$87.72 on stalled Hormuz talks and a Saudi refinery attack threatens to slow Pakistan's disinflation path if it persists, given the direct pass-through to the import bill and fuel-linked CPI components. Globally, the Fed's historic three-way dissent on 29 July looks increasingly prescient — September rate-hike odds are rebuilding from last week's lows as energy-driven inflation risk resurfaces ahead of Wednesday's CPI print, a tension equity and gold markets are still pricing inconsistently. Watch 180,000 as first support, with 178,500 as the deeper floor; a close back above 182,350 reopens the path toward fresh 2026 highs. All levels are indicative desk estimates, not recommendations.

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